



Agenda Item 3.A

DATE: **December 20, 2021**

TO: Honorable Mayor and Members of the City Council through City Manager 

FROM: Corey Garberolio, Deputy City Manager/Director of Finance
Janine Tedrow, Finance and Accounting Manager

SUBJECT: Resolution Accepting the Fiscal Year 2021 Annual Development Impact Fee Report Pursuant to Assembly Bill 1600

RECOMMENDATION

It is recommended that the City Council adopt the attached Resolution Accepting the Fiscal Year 2021 Annual Development Impact Fee Report Pursuant to Assembly Bill (AB) 1600.

BACKGROUND

The Mitigation Fee Act, Government Code §§66000 *et seq.* (the “Act”), governs the establishment and administration of development impact fees paid by development projects which defray all or a portion of the cost of public facilities related to those projects. Fees must be separately accounted for and used for the specific purpose for which they are imposed. Expenditures of collected fees are generally authorized through the annual Capital and Operating Budgets and the City's Capital Improvement Program. The annual adopted City Budget is on file with the City Clerk.

The Act requires the City to make two public reports – an annual report and a five-year report – which account for the fees held by the City. Pursuant to Government Code Section 66006(b), the City has prepared the Fiscal Year 2021 Annual Development Impact Fee Report, which details the account balances and other required information for all six of the City’s development impact fees: the Parkland Acquisition Fee, the Parkland Development Impact Fee, the Open Space Acquisition Impact Fee, the City Facilities Development Impact Fee, the Storm Drainage Impact Fee, and the Traffic Development Impact Fee.

DISCUSSION

Pursuant to Government Code section 66006(b), the City’s annual impact fee report is required to contain the following information for each fee:

- (A) A brief description of the type of fee;
- (B) Amount of the fee;
- (C) Beginning and ending balance of the fee account;

- (D) Amount of fees collected and interest earned;
- (E) Identification of each public improvement on which fees were expended and the amount of expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees;
- (F) Identification of an approximate date by which the construction of the public improvement will commence if the City determines that sufficient funds have been collected to complete financing on an incomplete improvement;
- (G) Description of each interfund transfer or loan, including the public improvement on which the transferred or loaned fees will be expended and, in the case of an interfund loan, the date on which the loan will be repaid, and the rate of interest that the account or fund will receive on the loan; and
- (H) Amount of refunds made pursuant to the Act's requirements.

The annual development impact fee report for the year ending June 30, 2021 provides this information and is included as Attachment 2 to this agenda report.

PUBLIC OUTREACH

The Act requires that the City Council review the annual development impact fee report at the next regular meeting that is no less than 15 days after the report is presented to the public. The FY 2020-2021 report was made available to the public on the City of Petaluma website on December 2, 2021, posted at City Hall, and a copy of the report also was mailed on December 2, 2021 to all persons who had requested mailed notice relating to City fees in accordance with Government Code Section 66006(b)(2).

Additionally, this agenda item appeared on a tentative agenda in the previously-published agenda packet, which was publicly noticed through appropriate City communications channels.

ENVIRONMENTAL COMPLIANCE

The City's review and acceptance of the report is not a project under the California Environmental Quality Act pursuant to Public Resources Code sections 21065 and 21080 and CEQA Guidelines Sections 15378 and 15061(b)(3) as reviewing and accepting the report will not result in any direct or indirect physical change in the environment.

FINANCIAL IMPACTS

There are no financial impacts directly related to the recommended action. Depending on development activities there may or may not be direct expenditures for some of these funds. There are, however, fixed costs related to the administration and accounting of the development fees, which have been reported as "City Administrative Costs" and which occur regardless of whether direct expenses have occurred. A summary of all impact fee expenditures during FY 2020-2021 is also included in Attachment 2.

ATTACHMENTS

1. Resolution Accepting the Annual Development Impact Fee Report

2. FY20-21 Annual Development Impact Fee Report

**Resolution No. 2021-XXX N.C.S.
of the City of Petaluma, California**

**RESOLUTION ACCEPTING THE FISCAL YEAR 2021 ANNUAL DEVELOPMENT
IMPACT FEE REPORT PURSUANT TO ASSEMBLY BILL 1600**

WHEREAS, the City of Petaluma imposes fees to mitigate the impacts of development, pursuant to Government Code §§66000 *et seq.* (the “Mitigation Fee Act”); and,

WHEREAS, fees collected are deposited into a separate fund for each type of development impact fee; and,

WHEREAS, the Mitigation Fee Act requires the City of Petaluma to make available to the public certain information regarding the fees and regarding each fund on an annual basis within 180 days of the end of the fiscal year (i.e. June 30, 2021); and

WHEREAS, the Development Impact Fee Report – Fiscal Year 2020-2021 attached to the concurrent Staff Report as Attachment 2 and incorporated herein by reference (“the Report”) provides the information required by the Mitigation Fee Act, specifically all information required by Government Code Section 66006(b)(1); and,

WHEREAS, the Report was made available to the public on the City’s website on December 2, 2021 in accordance of the noticing requirements of Government Code Section 66006(b)(2); and,

WHEREAS, copies of the Report were mailed on December 2, 2021 to all persons having requested notice of City actions relating to fees in accordance of the noticing requirements of Government Code Section 66006(b)(2); and,

WHEREAS, the City’s review and acceptance of the Report is not a project under the California Environmental Quality Act pursuant to Public Resources Code sections 21065 and 21080 and CEQA Guidelines Sections 15378 and 15061(b)(3) as reviewing and accepting the Report will not result in any direct or indirect physical change in the environment; and

WHEREAS, the City Council has reviewed the Report at its regularly scheduled meeting on December 20, 2021.

NOW, THEREFORE, BE IT RESOLVED that the City Council of the City of Petaluma hereby:

1. The recitals stated herein are true and correct and adopted as findings of the City Council.
2. Finds that the City’s review and acceptance of the Report is not a project under the California Environmental Quality Act pursuant to Public Resources Code sections 21065 and 21080 and CEQA Guidelines Sections 15378 and 15061(b)(3) as reviewing and accepting the Report will not result in any direct or indirect physical change in the environment
3. The City Council has received and reviewed and hereby accepts the Development Impact Fee Report – Fiscal Year 2020-2021 attached hereto as Attachment 2 and incorporated herein by reference (“the Report”).

Under the power and authority conferred upon this Council by the Charter of said City.

REFERENCE:

I hereby certify the foregoing Resolution was introduced and adopted by the Council of the City of Petaluma at a Regular meeting on the 20th day of December 2021, by the following vote:

Approved as to
form:

City Attorney

AYES:

NOES:

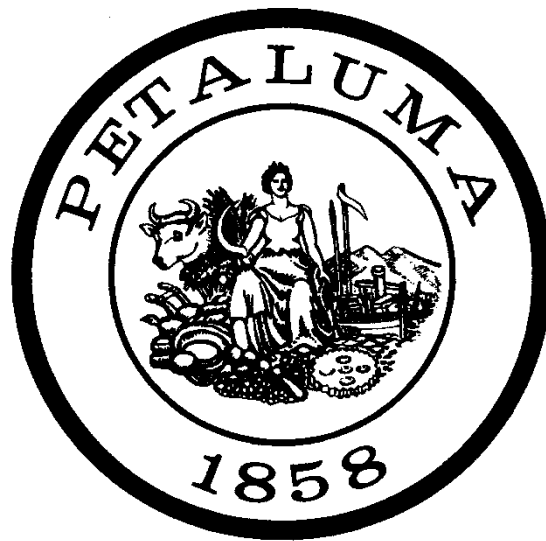
ABSENT:

ABSTAIN:

ATTEST:

City Clerk

Mayor



CITY OF PETALUMA, CALIFORNIA

ANNUAL DEVELOPMENT IMPACT FEE REPORT

FISCAL YEAR 2020-21

City of Petaluma
Annual Development Impact Fee Report
Fiscal Year 2020-21

Background

The Mitigation Fee Act, Government Code §§66000 *et seq.* (the “Act”), governs the establishment and administration of development impact fees paid by development projects which defray all or a portion of the cost of public facilities related to those projects. Fees must be separately accounted for and used for the specific purpose for which they are imposed. The City's adopted development impact fees are listed in the attached exhibits. Expenditures of collected fees are generally authorized through the annual Capital and Operating Budgets and the City's Capital Improvement Program. The annual adopted City Budget is on file with the City Clerk.

Annual Development Fee Reporting

The Act requires that the City prepare an annual report on all of its development impact fees after the end of each fiscal year. Government Code section 66006(b)(2) requires the annual report to be reviewed by the City Council at its next regular meeting not less than 15 days after the report is made available to the public. This Fiscal Year 2020-2021 annual report (“Report”) was made available to the public on the City of Petaluma website on December 2, 2021, posted at City Hall, and a copy of the Report also was mailed to all persons who had requested mailed notice relating to city fees on December 2, 2021.

Excluded from this Report are developer fees which are not subject to the reporting requirements of the Act. For example, the City collects the following fees pursuant to the City's zoning powers rather than pursuant to the Act: in-lieu housing fees, commercial linkage fees (which are the non-residential equivalent of the in-lieu housing fees), public art in-lieu fees, and the fee related to the Central Petaluma Specific Plan area. Water capacity fees and wastewater capacity fees also are not development impact fees as defined in Sections 66006 and 66001 of the Act. Finally, the Quimby Act parkland acquisition fee for residential subdivisions is imposed pursuant to the Subdivision Map Act (Gov't. Code §66477) and is also not included in the Act's reporting requirements.

The Storm Drainage Fee was last updated in 1986, prior to the January 1, 1989 effective date of AB1600, but is nevertheless included in this Report for informational purposes.

The Act also requires the City to adopt certain findings for any fund accounts which contain unexpended funds as of the fifth fiscal year following the first deposit into those funds and every five years thereafter. (Gov't. Code §66001(d), the "Five Year Findings.") In FY 20-21, no impact fee funds fell into this category and therefore this Report does not contain information required to make the Five Year Findings and the City will not be adopting a Five Year Findings resolution.

The report is organized as follows:

Exhibit A: A brief description of each development impact fee, its purpose, and its authorizing legislation (Gov't. Code §66006(b)(1)(A).)

Exhibit B: Summary of the July 1, 2020 beginning balance, annual fee revenue collected, interest earned, returned unused funds from projects and loan repayments, identification of public improvements on which fees were expended, percentage of the improvements funded by fees, and the ending balance as of June 30, 2021 for each fee (Gov't. Code §66006(b)(1)(C)-(E).) Excess funds from capital project funds were returned to the originating revenue funds.

Exhibit C: Identifies the amount of each development impact fee. (Gov't. Code §66006(b)(1)(B).)

Exhibit D: Identifies interfund loans, transfers, refunds or reallocation of funds in lieu of refunds in Fiscal Year 2020-2021 (Gov't. Code §66006(b)(1)(G)-(H)).

City of Petaluma
Development Impact Fee Summary

Fee #		Impact Fee Name	Fee Authority	Brief Description of the Type of Fee
1		Parkland Acquisition Fee	Reso. 2020-009 N.C.S, January 6, 2020; Reso. 2014-038 N.C.S., March 3, 2014; Reso. 2012-124 N.C.S., August 27, 2012; Reso. 2008-092 N.C.S., May 19, 2008	The Parkland Acquisition Fee is imposed on development projects that are <i>not</i> subject to the Quimby Act. It funds acquisition of and payment for parkland necessary to maintain the standard established in the city's General Plan, based on a ratio of parkland acreage to population, including employees of new commercial development, as new residents and employees are added by new development.
2		Parkland Development Impact Fee	Reso. 2020-009 N.C.S, January 6, 2020; Reso. 2016-160 N.C.S; October 3, 2016; Reso. 2014-037 N.C.S., March 3, 2014; Reso. 2012-122 N.C.S., August 27, 2012; Reso. 2008-093 N.C.S., May 19, 2008	The Parkland Development Fee funds public facilities which improve neighborhood and community parklands as needed to serve new development.
3		Open Space Acquisition Impact Fee	Reso. 2020-009 N.C.S, January 6, 2020; Reso. 2014-039 N.C.S., March 3, 2014; Reso. 2012-123 N.C.S., August 27, 2012; Reso. 2008-091 N.C.S., May 19, 2008	The Open Space Acquisition Fee funds acquisition of and payment for open space necessary to maintain the city's standard established in its General Plan based on a ratio of open space acreage to population, including employees of new commercial development, as new residents and employees are added by new development.
4		City Facilities Development Impact Fee	Reso. 2020-009 N.C.S, January 6, 2020; Reso. 2014-036 N.C.S., March 3, 2014; Reso. 2012-121 N.C.S., August 27, 2012	The City Facilities Development Impact Fee funds design, engineering, right-of-way and reasonable costs of outside consultant studies related thereto, reimburse the City for the Facilities constructed by the City with funds from other sources including funds from other public entities, reimburse developers who have designed and constructed any of the facilities with prior City approval and have entered into an agreement and pay for and/or reimburse costs of program development and ongoing administration and maintenance for the Fee program, including, but not limited to, the cost of studies, legal costs, and other costs of updating the Fee.

5		Storm Drainage Impact Fee	Ord. 1530 N.C.S., eff. Sept. 20, 1982; Ord. 1653 N.C.S., eff. June 2, 1986 (Petaluma Municipal Code Chapter 17.30); Reso. 9751 N.C.S., June 2, 1986	The Storm Drainage Impact Fee funds the construction of storm drainage improvements needed to control increases in run-off created by new development projects. The Storm Drainage Impact Fee was adopted and last updated before the enactment and effective date of AB1600, but is included in this report for informational purposes.
6		Traffic Development Impact Fee	Reso. 2020-009 N.C.S, January 6, 2020; Reso.2016-76 N.C.S. May 16, 2016 Reso 2015-191 N.C.S., Dec 7, 2015; Reso 2014-112 N.C.S., July 7, 2014 Reso. 2014-040 N.C.S., March 3, 2014; Reso. 2012-125 N.C.S., August 27, 2012; Reso. 2008-095 N.C.S., May 19, 2008	The Traffic Development Impact Fee funds construction and implementation of improvements to key elements of the citywide transportation system sufficient to accommodate future traffic demand generated by new development.

Exhibit B

Development Impact Fee Report Fiscal Year 2020-21

Fund	Fund Title / Project Title	Fund Balance 7/1/2020	Fee Revenue	Interest Revenue	Return Unused Funds /loan repymt	Expenditures/ Transfers	Est % funded by Impact Fees	Ending Balance 6/30/2021
2141	Parkland Acquisition Impact Fees -08	1,840,644.98	138,371.69	1,312.29		2,767.43		1,977,561.53
	City administrative costs					2,767.43		
2142	Parkland Development Impact Fees -08	3,106,196.69	466,773.22	2,366.31	-	369,335.46		3,206,000.76
	c14402010 Marina Dredging & Dock Repairs					250,000.00	71.0%	
	c14501607 Petaluma Comm Sports Fields					100,000.00	100.0%	
	c14502012 Schollenberger Improvements					10,000.00	100.0%	
	City administrative costs					9,335.46	100.0%	
2143	Open Space Acquisition Impact Fees -08	420,188.83	34,260.11	2,670.07		685.20		456,433.81
	City administrative costs					685.20	100.0%	
	c00400304 River Plan McNear project					-		
2152	City Facilities Development Impact Fees	5,890,910.45	485,326.44	2,716.39		738,706.53		5,640,246.75
	c11202019 Council Chambers Improvements					50,000.00	100.0%	
	c11202017 City Hall West Wing Remodel					200,000.00	100.0%	
	Vehicles & Equipment					479,000.00	100.0%	
	City administrative costs					9,706.53	100.0%	
2155	Storm Drainage Impact Fees	3,169,992.39	-	4,561.93		2,500.00		3,172,054.32
	c16501931 Storm Trash Capture Device Pilot					2,500.00	100.0%	
2156	Storm Drainage Impact Fees -08	564,502.29	48,202.60	3,643.75		964.05		615,384.59
	City administrative costs					964.05	100.0%	
2160	Traffic Impact Fees	3,466,464.17	-	1,656.75		66,000.00		3,402,120.92
	c16102145 Citywide Striping Upgrades					16,000.00	24.0%	
	c14502114 Lych Creek Trail					50,000.00	24.0%	
	City administrative costs					-		
2161	Traffic Impact Fees -08	26,510,304.63	2,500,733.97	19,522.19	-	50,014.68		28,980,546.11
	City administrative costs					50,014.68	100.0%	

FY 20/21 Development Impact Fee Schedule

FEE TYPE	LAND USE TYPE	FEE	UNIT OF MEASUREMENT
City Facilities Development Impact Fee)	Single Family Residential	\$6,471	Unit
	Multifamily Residential	\$4,356	Unit
	Accessory Dwelling	\$2,220	Unit
	Commercial	\$1,225	1,000 sq ft of building space
	Office	\$1,170	1,000 sq ft of building space
	Industrial	\$746	1,000 sq ft of building space
Commercial Development Housing Linkage Fee	Commercial	\$2.93	Square Foot
	Retail	\$5.07	Square Foot
	Industrial	\$3.02	Square Foot
Open Space Acquisition Fee	Single Family Residential	\$455	Unit
	Multifamily Residential	\$305	Unit
	Accessory Dwelling	\$156	Unit
	Commercial	\$87	1,000 sq ft of building space
	Office	\$83	1,000 sq ft of building space
	Industrial	\$53	1,000 sq ft of building space
Park Land Acquisition Fee (Quimby and Non-Quimby Act Projects)^(A)	Single Family Residential	\$1,936	Unit
	Multifamily Residential	\$1,310	Unit
	Accessory Dwelling	\$664	Unit
	Commercial	\$367	1,000 sq ft of building space
	Office	\$350	1,000 sq ft of building space
	Industrial	\$223	1,000 sq ft of building space
Park Land Development Impact Fee	Single Family Residential	\$6,403	Unit
	Multifamily residential	\$4,311	Unit
	Accessory Dwelling	\$2,195	Unit
	Commercial	\$1,213	1,000 sq ft of building space
	Office	\$1,160	1,000 sq ft of building space
	Industrial	\$739	1,000

FY 20/21 Development Impact Fee Schedule

FEE TYPE	LAND USE TYPE	FEE	UNIT OF MEASUREMENT
Traffic Development Impact Fee	Single Family Residential	\$16,273	Unit
	Multifamily Residential	\$9,989	Unit
	Accessory Dwelling	\$4,511	Unit
	Senior Housing	\$4,349	Unit
	Office	\$21,494	1,000 sq ft of building space
	Hotel/Motel	\$6,410	Room
	Commercial/Shopping	\$31,443	1,000 sq ft of building space
	Industrial/Warehouse	\$12,728	1,000 sq ft of building space
	Education	\$1,602	Student
	Institution	\$6,594	1,000 sq ft of building space
	Gas/Service Station	\$52,638	Fuel Position
Wastewater Capacity Fee ^(B)	Single Family Residential	\$8,834	Unit
	Multifamily Residential	\$5,849	Unit
	Accessory Dwelling	\$3,251	Unit
	Non-Residential Customers	\$18.73	Per gallon daily flow
		\$4,254	Per daily pound of BOD
\$4,878		Per daily pound of TSS	
Water Capacity Fee (per meter size)	METER SIZE	FEE	
	¾	\$4,301	
	1” (residential)	\$4,301	
	1” (non-residential)	\$7,181	
	1 ½	\$14,319	
	2”	\$22,919	
	3”	\$42,999	
	4”	\$71,679	
	6”	\$141,895	
	>6	Case by Case basis	

- (a) The Quimby Act applies only to fees and/or dedications imposed on certain subdivisions subject to the Subdivision Map Act to fund land acquisition costs for park or recreational purposes.
- (b) The wastewater capacity fee for non-residential users is based on the daily flow, biological oxygen demand and the total suspended solids of the wastewater being discharged. Please contact the Department of Public Works & Utilities at 707-776-3777 for a quote.

STORM DRAIN IMPACT FEE

Calculation of Fee

Runoff computation: The increase in runoff created by a given project is calculated for a 100-year storm, utilizing runoff coefficients based upon the portion of vegetated area to impervious surfaces, and expressed in acre-feet. Runoff coefficients are based upon the type of use, slope of the land, and percent of vegetation coverage.

Commercial/Industrial: Projects pay a fee of \$30,000 per acre foot of additional runoff. The amount of incremental runoff created is directly linked to the amount of landscaping provided. The maximum fee possible is \$9,000 per acre of land. This would apply to a project with 20% or less landscaping. A project with 25% landscaping can expect a fee of \$6,750 per acre, 30% would pay \$6,300 per acre, and so on.

Residential: Projects pay a fee of \$15,000 per acre foot of additional runoff. Incremental runoff is dependent upon the density of a project and the amount of landscaping and open space provided. A high density project with 20% or less area in landscaping could expect to pay \$4,500 per acre. A type detached single-family subdivision would pay approximately \$1,500 per acre.

**Status of Interfund Loans, Transfers, Refunds or Reallocation of Funds
Fiscal Year 2020-21**

Interfund Loans

The Storm Drainage Impact Fee fund loaned the Storm Water Utility Operations fund \$690,230 to cover storm water maintenance costs from January 1, 2012 through June 30, 2013. Payment of principal and interest for FY 20-21 was \$45,326. The balance as of June 30, 2021 is \$385,734. This loan is scheduled to be repaid by June 30, 2026.

There were no Transfers, Refunds or Reallocation of Funds during FY 20-21.